

TENTATIVE RULING

Jesus Corza Huerta
v.
Araceli Cortez Hernandez, et al.
24CV004625

Defendants’ Motion to Contest Application for Determination of Good Faith Settlement

Hearing Date: August 28, 2026 (initially heard on February 13 and continued from May 22)

On August 13, 2026, Defendants Angelita Ramirez and Joel M. Gil (collectively, “Non-Settlers”) withdrew their motion contesting Defendant Araceli Cortez Hernandez’s (“Settlor”) application for a determination that Settlor entered into a good-faith settlement with Plaintiff Jesus Corza Huerta (“Plaintiff”). Accordingly, Non-Settlers’ motion is **DENIED**, and Settlor’s good-faith-settlement application, filed on October 1, 2025, is **GRANTED**. Settlor shall submit a proposed order granting her application consistent with this Tentative Ruling.

The Case Management Conference following the motion hearing is **MAINTAINED**. The Court is prepared to set the matter for a jury trial of five to seven days as early as fall of 2027. Also, it does not appear that Plaintiff has posted jury fees. If so, Plaintiff must post fees by August 28, 2026.

Background.

On October 1, 2025, Settlor filed a good-faith settlement application (“Application”) based on a \$25,000 policy-limits settlement with Plaintiff. On December 4, Non-Settlers filed a timely motion contesting Settlor’s application (“Motion to Contest”).

The Motion to Contest was initially heard on February 13, 2026. Still, the Court continued it to May 22 to allow the Settlor or Plaintiff (collectively, the “Settling Parties”) to file competent evidence showing that Settlor lacks assets. On May 20, Settlor attested that she has “no other assets, other than this policy of insurance, which would satisfy any judgment against” her. [Settlor’s Decl. at ¶¶ 6-11.] During the May 22 hearing on the Motion to Contest, Non-Settlers requested, and were granted, a further continuance to August 28 to allow them to discover Settlor’s purported lack of assets.

On August 13, 2026, Non-Settlers filed a Notice of Withdrawal, stating they no longer contest the Application and “will not oppose the Court’s determination that the settlement between [Settling Parties] was entered into in good faith.” [Notice of Withdrawal at 2.]

Discussion.

Non-Settlor's Motion to Contest is **DENIED** because they voluntarily withdrew their motion. Thus, the only remaining issue is the Court's ruling on Settlor's Application. As detailed below, the Application is **GRANTED**.

A defendant's settlement made in good faith releases that defendant from liability for contribution or equitable indemnity to other joint tortfeasors or co-obligors. [Code Civ. Proc. §§ 877, 877.6.] Since applying Code of Civil Procedure section 877.6 involves estimating what could happen if the case goes to trial, "all that can be expected is an estimate, not a definitive conclusion." [*Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 499.] When determining good faith, this Court considers, among other factors, the settlor's financial situation. [*Ibid.*] There must be a "sufficient evidentiary basis to enable the court to consider and evaluate the various aspects of the settlement." [*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1263 (citing *Tech-Bilt*, 38 Cal.3d at 499-500).] The "affidavits, declarations, or other evidence should provide the court with the facts necessary to assess the settlement based on the factors outlined by *Tech-Bilt*. Without these facts, it is impossible for a court to exercise its discretion properly during a contested hearing." [*Ibid.*]

Settlor has made the following showing in her Application and filings in opposition to the Motion to Contest: (1) the Settling Parties agreed that Plaintiff will dismiss Settlor from the Complaint with prejudice in exchange for the \$25,000 limit of Settlor's automobile insurance policy [Application at 2:12-14 and attached Hart Decl. at ¶ 2]; (2) Settlor has no appreciable assets [Settlor's Decl. at ¶¶ 6-11]; (3) Plaintiff's medical specials total approximately \$43,627, with over \$30,705.85 attributable to his emergency room evaluation [Application at 2:9-11]; (4) liability between Settlor and Non-Settlers is disputed, including whether Plaintiff sustained two separate impacts and defendants' share of fault [Application at 2:5-8 and attached Hart Decl. at ¶ 3; *see also* Motion to Contest at 3:21-4:12]; and (5) no evidence of collusion or efforts to prejudice Non-Settlers was presented [Application at 4:22-25 and attached Hart Decl. at ¶ 4]. Given these uncontested facts, the \$25,000 settlement is not grossly disproportionate to what a reasonable person at the time of the settlement would estimate Settlor's exposure to be. [*North County Contractor's Assn. v. Touchstone Ins. Services* (1994) 27 Cal.App.4th 1085, 1089-1090.] Further, even assuming Plaintiff's injuries could support a substantially higher verdict, a policy-limits settlement from an asset-limited defendant is within the range of reasonableness under *Tech-Bilt*. [*Schmid v. Superior Court* (1988) 205 Cal.App.3d 1244, 1247-1249.]

Given Non-Settlor's withdrawal of their motion and the lack of proof showing the settlement is grossly disproportionate to Settlor's share of liability, the Court finds the settlement was made in good faith. [Code Civ. Proc. §§ 877, 877.6.] The Application is **GRANTED**.

Conclusion.

The Motion to Contest is **DENIED** as moot, and the Application is **GRANTED**. Settlor shall submit a Proposed Order granting her Application consistent with this Tentative Ruling.

NOTE RE TENTATIVE RULING

This tentative ruling becomes the court's order, and no hearing shall be held unless one of the parties contests it by following Rule 3.1308 of the California Rules of Court and Monterey County Local Rule 7.9. Those parties wishing to present an oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, **NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT AND THE HEARING VACATED.** You must notify the court by [email](#) or by calling the Calendar Department at 831-647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.